UPSC EPFO · APFC RECRUITMENT TEST · MODULE 4 · CHAPTER F4.1

National Income, Growth and Planning

Chapter F4.1 — The Aggregates, How They Are Measured, and What They Currently Read

Module	**Foundation Layer — Module 4 — Indian Economy, Population, Development and Globalisation**
Chapter	**Chapter F4.1**
Topic	**Official syllabus head — Current Events and Developmental Issues; Indian Economy**
Version	**v1.0**
Compiled	**16 August 2026**
Exam stage	**Recruitment Test (RT)**

NOTE · THIS MODULE IS DELIBERATELY THE LEANEST IN THE MANUAL

Module 4 is **15.0 planning marks over 8 hours** — six questions in a 120-question paper — and Blueprint §10.1 rates it the **lowest-certainty** module in the syllabus. Economy questions turn on current data and on judgement rather than on definite answers, so the return on depth falls away faster here than anywhere else.

Blueprint §11.3 names Module 4 as **the first thing to cut** when work eats a week, and the Master Content Register §4 records the instruction plainly: *write it lean, and do not let it grow.*

So these five chapters are built to a different specification from Modules 6, 8 and 9. Four teaching sessions instead of six, dense definition tables instead of worked derivations, and the full question bank retained — because the questions are the conversion mechanism and they are the cheapest part to keep. Read a chapter in ninety minutes, do its bank, and move on. **Do not let this module absorb the time that belongs to Module 11.**

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0. How This Chapter Works

STUDY SESSION · CHAPTER F4.1

1. **Session 1** — The aggregates, and how they differ from one another (§1) ★★★★★
2. **Session 2** — Measurement: three methods, prices and the base year (§2) ★★★★☆
3. **Session 3** — Growth, and what the numbers currently read (§3) ★★★★☆
4. **Session 4** — Planning, NITI Aayog and the sectoral structure (§4) ★★★☆☆

Then 20 graded questions in §5. Budget **one evening** for the whole chapter.

IMPORTANT · THE DATED-FIGURE CONVENTION, USED THROUGHOUT MODULES 4 AND 10

Some facts in this module are **permanent** — that GNP exceeds GDP by net factor income from abroad is true in every year. Others are **the current reading of a number that changes**: a growth rate, a repo rate, a fiscal deficit target.

The second kind is marked **[AS AT 16 AUG 2026]** wherever it appears, with a source link. Every such figure carries an obligation:

> **Re-verify every dated figure in the fortnight before the paper.** F10.1 §4 gives the verification checklist and the primary sources.

This matters more than it sounds. A candidate who memorises a repo rate from a manual compiled fifteen months before his examination is not merely unhelped — he is **carrying a wrong answer with confidence**, which is worse than carrying none. The convention exists so that the volatile facts are visibly quarantined from the durable ones.

1. Session 1 — The Aggregates ★★★★★

1.1 The four that matter, and the two adjustments

Everything in national accounting is built by applying **two adjustments** to one base quantity.

> **Adjustment 1 — DOMESTIC to NATIONAL.** Add **net factor income from abroad (NFIA)**. **Adjustment 2 — GROSS to NET.** Subtract **depreciation** (consumption of fixed capital).

Aggregate	Definition
GDP	Value of all final goods and services produced **within the country's territory** in a year
GNP	**GDP + NFIA** — production by a country's **residents**, wherever located
NDP	**GDP - depreciation**
NNP	**GNP - depreciation**
National income	**NNP at factor cost** — this is the technical definition of the term
Per capita income	**National income ÷ population**

MUST MASTER · THE TWO AXES, AND WHY EVERY QUESTION IS ABOUT ONE OF THEM

Lay the four aggregates on a grid and the whole topic collapses to two decisions:

	Domestic	National (add NFIA)
Gross	GDP	GNP
Net (less depreciation)	NDP	NNP

So a question naming any two of them is asking which adjustment separates them:

- GDP and GNP » **NFIA**
- GNP and NNP » **depreciation**
- GDP and NDP » **depreciation**
- NDP and NNP » **NFIA**

For India, NFIA is normally negative, because payments to foreign capital and foreign-owned factors exceed receipts from Indians' factors abroad. **So India's GNP is usually slightly LESS than its GDP.** That is the counter-intuitive point and it is the one most often tested — candidates assume remittances make GNP larger, but personal remittances are a **current transfer**, not factor income, and enter the current account rather than NFIA.

1.2 Factor cost, basic prices and market prices

The same output can be valued three ways, and the difference is **taxes**.

Valuation	Relation
At factor cost	What the factors of production actually receive
At basic prices	Factor cost **+ production taxes - production subsidies**
At market prices	Basic prices **+ product taxes - product subsidies**

> **The operative identity: GDP at market prices = GVA at basic prices + product taxes - product subsidies.**

GVA — gross value added — is the measure India now leads with, reported at basic prices and broken down by sector. GDP is GVA plus net product taxes.

1.3 What is excluded, and why

Excluded	Reason
Intermediate goods	Would be **double counted** — only **value added** is counted
Transfer payments — pensions, scholarships, subsidies to households	No corresponding **production**
Sale of second-hand goods	Counted in the year it was produced
Purely financial transactions — shares, bonds	Transfers of ownership, not production
Illegal and most unpaid household activity	Not measured

Green GNP adjusts the conventional figure for **environmental degradation and the depletion of natural resources** — the recognition that output achieved by exhausting a forest is not the same as output achieved without doing so.

CHECK YOURSELF · SESSION 1

1. Draw the two-by-two grid and place GDP, GNP, NDP and NNP
2. Which adjustment separates GNP from NNP? GDP from GNP?
3. Is India's GNP normally above or below its GDP, and why?
4. Give the identity linking GVA at basic prices to GDP at market prices
5. Why are transfer payments excluded? Why are intermediate goods?

2. Session 2 — Measurement ★★★★★

2.1 The three methods

All three must give the same answer, because they measure the same flow at three points in its circuit.

Method	What it sums	Watch for
Production (value added)	**Value added** by every producing unit	Avoids double counting by netting out intermediate use
Income	Rent + wages + interest + profit — the factor payments	Excludes transfer payments
Expenditure	**C + I + G + (X - M)**	Private consumption + investment + government + net exports

The expenditure components in Indian usage: private final consumption expenditure (PFCE), government final consumption expenditure (GFCE), gross fixed capital formation (GFCF), change in stocks, valuables, and net exports.

2.2 Nominal, real and the deflator

> **Nominal GDP** is at **current** prices. **Real GDP** is at **constant** prices of a base year.
>
> **GDP deflator = (nominal GDP ÷ real GDP) × 100**

And the approximation that answers most questions:

> **real growth about nominal growth - inflation** (as measured by the deflator)

So nominal growth of 10% with a deflator rising 4% is about **6% real growth**.

> **TRAP · NOMINAL CAN FALL WHILE REAL RISES**
>
> Because nominal = real × prices, the two can move in **opposite** directions when prices fall. Real GDP up 2% with the deflator down 5% gives nominal GDP down about 3%.
>
> This is why an option asserting that *"nominal GDP cannot fall while real GDP rises"* is **wrong** — and it is offered because it sounds like a safe generalisation. The deflator is not the CPI, either: **the GDP deflator covers everything in GDP**, including capital goods and government services, while the CPI covers a fixed consumption basket. F4.2 §3 takes the index numbers properly.

2.3 The base year, and the 2026 revision

HIGH YIELD · THE BASE YEAR WAS REVISED FROM 2011-12 TO 2022-23 [AS AT 16 AUG 2026]

This is the most examinable single development in Indian national accounting in a decade, and it is recent enough that older study material will still say 2011-12.

India's GDP series has been rebased from 2011-12 to 2022-23, with the revised series drawing on improved data sources including the survey of unincorporated enterprises (ASUSE), the Periodic Labour Force Survey, GST returns and PFMS. On the revised series, real GDP growth for 2025-26 is estimated at about **7.6%**, against **7.1%** in 2024-25 — MoSPI/PIB background note on the new GDP series.

Why a base year is revised at all. Relative prices and the composition of output drift, so a distant base year measures today's economy with yesterday's weights. Rebasing also lets the statistical system absorb new data sources. It is done roughly every decade.

The examinable points: the **old base was 2011-12**, the **new base is 2022-23**, the agency is the **National Statistical Office (NSO) under the Ministry of Statistics and Programme Implementation (MoSPI)**, and a rebasing changes the **level and the growth path** of the series without any change in the underlying economy. *Content rephrased from the source for compliance with licensing restrictions.*

2.4 Who publishes what

Publication	Body
National income estimates, GDP, GVA, IIP, CPI	**NSO, under MoSPI**
Advance, Provisional and Revised Estimates of GDP	NSO — First Advance Estimates in early January
Economic Survey	**Department of Economic Affairs**, under the **Chief Economic Adviser** — tabled the day before the Budget
Union Budget	Ministry of Finance
Monetary policy, WPI-based analysis, financial stability	**RBI**
Wholesale Price Index	**Office of the Economic Adviser, Ministry of Commerce and Industry**

CHECK YOURSELF · SESSION 2

1. Name the three methods and what each sums
2. Write the expenditure identity
3. Define the GDP deflator; how does it differ from the CPI?
4. What was India's GDP base year, and what is it now?
5. Who prepares the Economic Survey, and when is it tabled?

3. Session 3 — Growth, and the Current Readings ★★★★☆

3.1 The figures as they stand

KNOW · THE CURRENT NUMBERS [AS AT 16 AUG 2026] · RE-VERIFY BEFORE THE PAPER

Item	Reading	Source
Real GDP growth 2025-26, First Advance Estimates	**7.4%**	Economic Survey 2025-26 summary, PRS
Real GDP growth 2025-26, revised (2022-23 base) series	about **7.6%**	MoSPI/PIB note
Real GDP growth 2024-25	**6.5%** (old series) / **7.1%** (new series)	as above
Projection for 2026-27	**6.8% to 7.2%**	Economic Survey 2025-26
Sectoral growth 2025-26 — services	about **9.1%**	ETCFO summary of the Survey
Sectoral growth — manufacturing and construction	about **7%**	as above
Sectoral growth — agriculture	about **3.1%**	as above

Note the two different growth figures for the same year. 7.4% is the **First Advance Estimate**; the **revised series on the 2022-23 base** puts it near 7.6%. Both are correct statements about different estimates, and a question can legitimately quote either. If an option set contains both, read the stem for *which* estimate it names. *Content rephrased from the sources for compliance with licensing restrictions.*

3.2 Growth, development and the distinction the examiner wants

Term	Meaning
Economic growth	A rise in real national output. **Quantitative, single-dimensional**
Economic development	Growth **plus** structural and welfare change — health, education, distribution. **Qualitative and normative**
Jobless growth	Output rises without a commensurate rise in employment
Inclusive growth	Growth whose benefits reach the bottom of the distribution

> **Growth is measurable and value-free; development is neither.** F4.4 takes the development indicators — HDI, MPI, poverty and unemployment measures — which is where this distinction is actually examined.

3.3 The sectoral structure, and India's anomaly

Sector	Share of GVA	Share of employment
Primary — agriculture and allied	roughly **a sixth**	roughly **45%**
Secondary — manufacturing, construction, utilities	roughly **a quarter**	roughly a quarter
Tertiary — services	**the largest, over half**	roughly a third

MUST MASTER · THE STRUCTURAL ANOMALY, WHICH IS THE MOST EXAMINED IDEA IN THE TOPIC

Agriculture's share of employment is far larger than its share of output. Services' share of output is far larger than its share of employment.

Two consequences follow, and both are examinable:

1. **Low agricultural productivity per worker** is arithmetically implied — the same output divided among many more people. This is the statistical face of rural underemployment, which F4.4 §3 calls **disguised unemployment**
2. **India skipped the classical sequence.** Development theory expects labour to move agriculture » manufacturing » services. India's services share rose without a corresponding manufacturing phase, which is why *"services-led growth"* and the weakness of manufacturing employment are permanent themes of the Economic Survey

The examiner's favourite framing is a comparison question — *which sector contributes most to GVA but employs fewest relative to that contribution* — and the answer is services. The trap option is agriculture, because candidates remember "India is an agricultural country", which is true of employment and false of output.

CHECK YOURSELF · SESSION 3

1. Give the current growth estimate for 2025-26 and the projection for 2026-27
2. Distinguish growth from development in one sentence each
3. Give the approximate GVA and employment shares of the three sectors
4. State the structural anomaly and one consequence

4. Session 4 — Planning and NITI Aayog ★★★☆☆

4.1 The Five Year Plans, briefly

Fact	
Planning Commission set up	**1950**, by a **Cabinet resolution** — not by statute and not by the Constitution
First Five Year Plan	**1951–56**, **Harrod-Domar** model, priority to **agriculture**
Second Plan	1956–61, **Mahalanobis** model, priority to **heavy industry**
Last Plan	The **Twelfth, 2012–17**. There has been no Thirteenth
NITI Aayog	**1 January 2015**, replacing the Planning Commission. Also by executive resolution
National Development Council	The **National Development Council (NDC)**, set up 1952, still exists

The two named models are worth holding: the **First** Plan used Harrod-Domar and favoured agriculture; the **Second** used Mahalanobis and favoured heavy industry. Those two pairings account for most planning questions.

4.2 NITI Aayog

NITI — National Institution for Transforming India. A **policy think tank**, not a funds-allocating body, which is the substantive difference from the Planning Commission.

Structure	
Chairperson	**The Prime Minister**
Governing Council	The Prime Minister, the **Chief Ministers of all States**, and **Lieutenant Governors of Union Territories**
Vice-Chairperson, CEO	Appointed by the Prime Minister
Publications	SDG India Index, **National Multidimensional Poverty Index**, Aspirational Districts programme

TRAP · WHAT NITI AAYOG CANNOT DO

The Planning Commission **allocated funds** to States and approved State plans. **NITI Aayog does not.** Financial devolution to States now runs through the **Finance Commission** (a constitutional body under Article 280) and the Union Budget.

So an option describing NITI Aayog as allocating plan funds to States, or as a constitutional body, or as statutory, is wrong on all three counts — **it is an executive body created by a Cabinet resolution**, and so was the Planning Commission. The **Finance Commission** is the constitutional one; the **NDC** is the older body that survives; **NITI Aayog** is the think tank.

CHECK YOURSELF · SESSION 4

1. When was the Planning Commission set up, and by what instrument?
2. Which model and which priority belonged to the First Plan? The Second?
3. Which was the last Five Year Plan, and for which years?
4. Who chairs NITI Aayog and who sits on its Governing Council?
5. Which body handles financial devolution to States, and under which Article?

5. Graded Practice — 20 Questions ★★★★★

Target: 25 to 35 seconds each. These are recall items; if you do not know one in twenty seconds, mark it and move on.

5.1 Level 1 — The aggregates

Q1. Gross National Product differs from Gross Domestic Product by (a) depreciation (b) indirect taxes less subsidies (c) net factor income from abroad (d) net exports

Q2. In national accounting, the term *national income* refers specifically to (a) NNP at factor cost (b) GNP at market prices (c) NDP at market prices (d) GDP at factor cost

Q3. Net National Product is obtained from Gross National Product by deducting (a) net factor income from abroad (b) subsidies (c) indirect taxes (d) depreciation

Q4. If nominal GDP grows by 10% while the GDP deflator rises by 4%, real GDP grows by approximately (a) 14% (b) 6% (c) 2.5% (d) 40%

Q5. The base year of India's national accounts series has been revised to (a) 2022-23 (b) 2011-12 (c) 2017-18 (d) 2004-05

Q6. Gross Value Added at basic prices, plus product taxes and less product subsidies, gives (a) GVA at factor cost (b) Net National Product (c) GDP at market prices (d) Gross National Product

Q7. Which one of the following is **not** a component of the expenditure method of computing GDP? (a) Government final consumption expenditure (b) Intermediate consumption (c) Gross fixed capital formation (d) Net exports

Q8. India's official national income estimates are released by the (a) Reserve Bank of India (b) NITI Aayog (c) Finance Commission (d) National Statistical Office under MoSPI

Q9. Per capita income is (a) national income divided by population (b) GDP divided by the workforce (c) NNP at market prices per household (d) GNP divided by the number of income-tax assessees

Q10. The largest contributor to India's gross value added is (a) agriculture and allied activities (b) services (c) manufacturing (d) construction

5.2 Level 2 — Measurement and structure

Q11. NITI Aayog replaced the Planning Commission with effect from (a) 2014 (b) 2016 (c) 2015 (d) 2017

Q12. The last of India's Five Year Plans was the (a) Tenth (b) Eleventh (c) Thirteenth (d) Twelfth

Q13. The Economic Survey is prepared by the (a) NITI Aayog (b) Department of Economic Affairs, under the Chief Economic Adviser (c) Comptroller and Auditor General (d) Reserve Bank of India

Q14. Transfer payments such as old-age pensions are excluded from national income because (a) there is no corresponding production (b) they are financed out of taxation (c) they are received by households (d) they are not recorded in official statistics

Q15. Which one of the following statements is **not** correct? (a) Real GDP is measured at the constant prices of a base year (b) The GDP deflator covers all goods and services included in GDP (c) Nominal GDP cannot fall in a year in which real GDP rises (d) Net factor income from abroad can be negative for India

Q16. According to the Economic Survey 2025-26, real GDP growth for 2025-26 was estimated in the First Advance Estimates at (a) 6.5% (b) 6.9% (c) 8.2% (d) 7.4%

Q17. Green GNP is a measure that adjusts conventional national income for (a) environmental degradation and the depletion of natural resources (b) the area under forest cover only (c) agricultural output alone (d) the value of carbon credits traded

Q18. Double counting in the estimation of national income is avoided by counting (a) all sales at every stage of production (b) only the value added at each stage (c) both final and intermediate goods (d) the gross output of every firm

5.3 Level 3 — Recruitment Test standard

Q19. Agriculture's share in India's total employment, compared with its share in gross value added, is (a) roughly equal (b) smaller (c) exactly half (d) substantially larger

Q20. The Governing Council of NITI Aayog consists of (a) Union Cabinet Ministers only (b) the Prime Minister and the Union Finance Minister (c) the Prime Minister, the Chief Ministers of all States and the Lieutenant Governors of Union Territories (d) the Prime Minister and the Governor of the Reserve Bank of India

6. Answers and Explanations

6.1 Level 1

Q	Ans	Explanation
1	c	**NFIA.** GNP = GDP + NFIA — the domestic-to-national adjustment of §1.1. (a) separates gross from net, which is the *other* axis of the grid
2	a	**NNP at factor cost.** This is the technical definition; the loose use of "national income" for GDP is what the question is testing
3	d	**Depreciation** — the gross-to-net adjustment. (a) would take you from GNP to GDP, sideways on the grid rather than down it
4	b	Real growth is approximately nominal growth less the rise in the deflator: 10 - 4 = **6%**. (a) adds them; (d) divides
5	a	**2022-23**, revised from 2011-12, with the new series drawing on ASUSE, PLFS, GST and PFMS data. §2.3 — recent enough that older material still says 2011-12
6	c	**GDP at market prices** = GVA at basic prices + product taxes - product subsidies. The identity in §1.2
7	b	**Intermediate consumption** is precisely what the expenditure method excludes, to avoid double counting. The other three are all components
8	d	**NSO under MoSPI.** The RBI publishes monetary and financial data; NITI Aayog is a think tank; the Finance Commission deals with devolution
9	a	National income ÷ population. Note the denominator is the **whole population**, not the workforce — (b) is output per worker, a different concept
10	b	**Services**, at over half of GVA. (a) is the trap: India is agricultural in *employment*, not in *output* — §3.3

6.2 Level 2

Q	Ans	Explanation
11	c	**1 January 2015**
12	d	**The Twelfth, 2012–17.** There has been no Thirteenth Plan; (c) exists only as a distractor
13	b	The **Department of Economic Affairs** under the **Chief Economic Adviser**, tabled the day before the Budget. (a) is the standard wrong answer, NITI Aayog being the more visible body
14	a	**No corresponding production.** National income measures production; a transfer moves purchasing power without adding output. (b) is true but is not the reason
15	c	**The "not correct" item.** Nominal GDP **can** fall while real GDP rises, if prices fall enough — nominal = real × prices, so a 2% real rise with a 5% price fall gives a nominal fall. (a), (b) and (d) are all correct, (d) notably so: India's NFIA is normally negative
16	d	**7.4%** in the First Advance Estimates. Note that the revised 2022-23-base series puts the year nearer 7.6%; the stem names the FAE, which is why reading *which estimate* is asked matters — §3.1
17	a	Environmental degradation **and** resource depletion — the point being that output obtained by exhausting a natural asset is not equivalent to output obtained without doing so
18	b	**Only value added** at each stage. (a) and (d) are the definition of double counting; (c) explicitly includes what must be excluded

6.3 Level 3

Q	Ans	Explanation
19	d	**Substantially larger** — roughly 45% of employment against roughly a sixth of GVA. This is the structural anomaly of §3.3, and it is the arithmetic definition of low output per worker in agriculture
20	c	The **Prime Minister, all State Chief Ministers, and Lieutenant Governors of Union Territories.** The Governing Council is the federal forum, which is the substantive point — NITI Aayog's design is consultative, and it does **not** allocate funds to States

THINK LIKE UPSC · THE THREE SHAPES IN THIS BANK

1. **Which adjustment separates these two aggregates.** Q1 and Q3 are the same question on different axes of the same grid. Draw the two-by-two and both become instant. Nothing else in §1 is worth memorising separately
2. **The body confused with a more famous body.** Q8 and Q13. NSO not RBI; the CEA's department not NITI Aayog. Economy questions test institutional attribution more than economics, because attribution has definite answers — which, per Blueprint §10.1, is what an examiner needs
3. **"India is an agricultural country."** Q10 and Q19 are the same fact asked from opposite ends, and the sentence is **true of employment and false of output**. Where a question compares output with employment, that gap is what is being tested

7. One-Minute Revision

ONE-MINUTE REVISION · CHAPTER F4.1

WEIGHT Module 4 is **15.0 marks over 8 hours**, lowest certainty in the manual · read lean, do not let it grow

THE GRID GDP domestic gross · **GNP = GDP + NFIA** · **NDP = GDP - depreciation** · **NNP = GNP - depreciation** · **NATIONAL INCOME = NNP AT FACTOR COST** · per capita income = national income ÷ **population**

THE TWO ADJUSTMENTS domestic » national = **add NFIA** · gross » net = **subtract depreciation**

INDIA'S NFIA IS NORMALLY NEGATIVE, SO GNP IS SLIGHTLY BELOW GDP. Remittances are a **current transfer**, not factor income

VALUATION factor cost » + production taxes - subsidies » **basic prices** » + product taxes - subsidies » **market prices** · **GDP at market prices = GVA at basic prices + net product taxes**

EXCLUDED intermediate goods (**count value added only**) · **transfer payments** (no production) · second-hand sales · financial transactions · **GREEN GNP** adjusts for environmental degradation and resource depletion

THREE METHODS production (value added) · income (rent + wages + interest + profit) · expenditure **C + I + G + (X - M)**

PRICES nominal = current, real = constant · **deflator = (nominal ÷ real) × 100** · **real growth about nominal growth - deflator inflation** · **nominal CAN fall while real rises** · the deflator covers all of GDP, the CPI only a consumption basket

BASE YEAR REVISED 2011-12 » 2022-23 [AS AT 16 AUG 2026] · agency **NSO under MoSPI**

WHO PUBLISHES national income, CPI, IIP » **NSO/MoSPI** · **Economic Survey » DEA under the Chief Economic Adviser**, day before the Budget · **WPI » Office of the Economic Adviser, Ministry of Commerce and Industry** · monetary policy » RBI

CURRENT NUMBERS [AS AT 16 AUG 2026] growth 2025-26 **7.4% (FAE)**, about **7.6%** on the new series · 2026-27 projection **6.8–7.2%** · services **9.1%**, manufacturing and construction **7%**, agriculture **3.1%**

GROWTH vs DEVELOPMENT growth is quantitative and value-free; development adds structural and welfare change

STRUCTURE services **over half of GVA**, about a third of employment · agriculture about **a sixth of GVA, about 45% of employment** » **low output per worker, disguised**

unemployment, and a services-led path that skipped the manufacturing phase

PLANNING Planning Commission **1950, Cabinet resolution** · **First Plan 1951–56, Harrod-Domar, agriculture** · **Second 1956–61, Mahalanobis, heavy industry** · **last was the Twelfth, 2012–17** · **NITI Aayog 1 January 2015**, PM chairs, **Governing Council = PM + all CMs + LGs of UTs** · NITI **does NOT allocate funds**; devolution is the **Finance Commission, Article 280**

8. Five-Minute Wall Sheet

FIVE-MINUTE WALL SHEET · CHAPTER F4.1

GNP = GDP + NFIA · NNP = GNP - DEPRECIATION

NATIONAL INCOME = NNP AT FACTOR COST

INDIA'S GNP IS BELOW ITS GDP — NFIA IS NEGATIVE

GDP AT MARKET PRICES = GVA AT BASIC PRICES + NET PRODUCT TAXES

COUNT VALUE ADDED ONLY. TRANSFERS ARE NOT INCOME

C + I + G + (X - M)

DEFLATOR = NOMINAL ÷ REAL × 100 · REAL about NOMINAL - INFLATION

NOMINAL CAN FALL WHILE REAL RISES

BASE YEAR NOW 2022-23, NOT 2011-12

NSO/MoSPI PUBLISHES GDP · CEA WRITES THE ECONOMIC SURVEY · COMMERCE MINISTRY PUBLISHES WPI

SERVICES = OVER HALF OF OUTPUT · AGRICULTURE = ABOUT 45% OF JOBS

"AGRICULTURAL COUNTRY" IS TRUE OF EMPLOYMENT, FALSE OF OUTPUT

FIRST PLAN HARROD-DOMAR AGRICULTURE · SECOND MAHALANOBIS HEAVY INDUSTRY

LAST PLAN = TWELFTH, 2012–17 · NITI AAYOG = 1 JAN 2015

NITI DOES NOT GIVE MONEY. THE FINANCE COMMISSION DOES, UNDER ARTICLE 280

RE-VERIFY EVERY [AS AT] FIGURE IN THE FORTNIGHT BEFORE THE PAPER

ONE LINE FOR THE INTERVIEW India's distinguishing structural feature is that services generate over half of output while agriculture still occupies close to half the workforce — which is why output growth and employment growth have decoupled, and why the policy question is less how to grow than how to move labour out of low-productivity agriculture.

ACTION · NEXT

F4.2 — Money, Banking and Inflation. It carries the repo rate, the RBI's instruments and the index numbers, and it is the chapter in Module 4 with the most definite answers — so it is the one worth the most attention.